

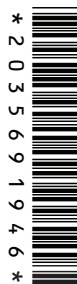
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Cambridge
International
AS & A LevelCambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

Variant '11'

ECONOMICS

Paper 1 Multiple Choice

9708/11**October/November 2017****1 hour**Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zargk musentag!

Solved with reasons!

This document consists of **13** printed pages and **3** blank pages.

2

- 1 A teacher asks four students to fill in the gaps in the following sentence.

objective 'A positive economic statement is1..... statement that2..... be tested using factual evidence, whereas a normative economic statement is3..... statement that4..... be tested using factual evidence.' *Subjective*

The students' answers are shown in the table.

Which student is correct?

	1	2	3	4
☒ A	an objective	can	a subjective	cannot
B	an objective	cannot	a subjective	can
C	a subjective	can	an objective	cannot
D	a subjective	cannot	an objective	can

★ In the social sciences and philosophy, a positive or descriptive statement concerns what "is", "was", or "will be", and contains no indication of approval or disapproval (what should be). Positive statements are thus the opposite of normative statements. Positive statement is based on empirical evidence.

★ In economics and philosophy, a normative statement expresses a value judgment about whether a situation is desirable or undesirable. It looks at the world as it "should" be.

- 2 From 1990 to 2000 each of the countries listed below changed towards a market economy through privatisation programmes.

private sector share (% of GDP) (ratio of private enterprise earnings to GDP)					
	1990		1995		2000
Czechia	10	<i>60%</i>	70	<i>10%</i>	80
Hungary	20	<i>40%</i>	60	<i>20%</i>	80
Romania	15	<i>30%</i>	45	<i>15%</i>	60
Slovakia	10	<i>50%</i>	60	<i>20%</i>	80

Overall

70%.

60%.

45%.

70%.

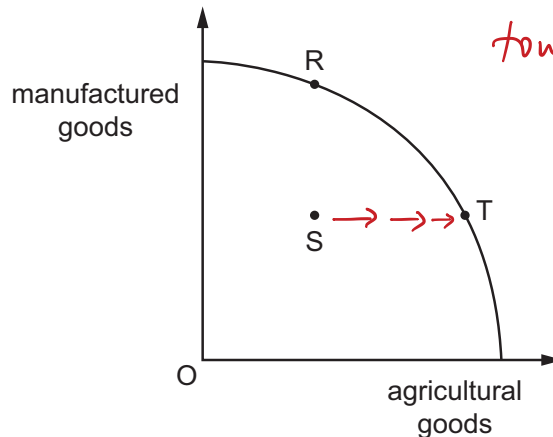
What can be concluded about the rates of privatisation?

- ☒ **A** Czechia initially made the fastest change. *(Yes) (60%)*
- B** Hungary made the least overall change. *(No) (Romania Did)*
- C** Romania made the greatest overall change. *(No, Czechia and Slovakia)*
- D** Slovakia made the steadiest change. *(No) (Rate increased then decreased)*

Not operating to its potential, so inefficient
i.e. 'S'

- 3 Farmers using traditional methods lack access to finance and often employ family members on a part-time basis.

If working practices in agriculture could be improved, how would this be likely to be shown on the production possibility curve?

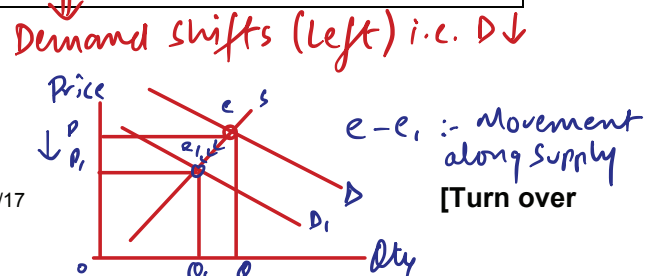
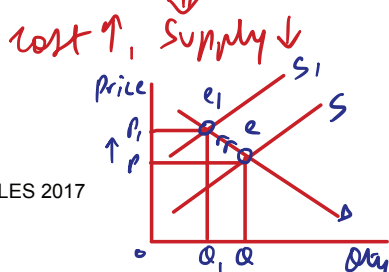


Can reach its potential, towards agricultural goods i.e. 'T'

- A by a movement from R to T (operating on its potential) (opportunity cost)
B by a movement from S to R (more of manufactured goods)
C by a movement from S to T (inefficient to efficient) (more of agricultural)
D by a movement from T to R (less of agricultural goods)
- 4 Which types of good are distinguished from one another by the presence or absence of opportunity cost?
- A demerit and merit goods
B economic and free goods
C inferior goods and normal goods
D private and public goods
- ★ Economic goods are products or service which can command a price when sold.
★ A free good is a good with zero opportunity cost. ... In desert areas, water is not in plentiful supply; society has to devote many resources to the production of drinking water. Therefore, water becomes scarce and so it is no longer considered a free good.

- 5 What could cause a shift in the supply curve of good X and a movement along its supply curve?

	shift in the supply curve	movement along the supply curve
A	a change in consumer preferences (Demand ↓)	an increase in the price of a substitute good (Demand ↑)
B	a decrease in factor productivity (Supply ↓)	the imposition of a tax on good X (Supply ↓)
C	an increase in the price of a complementary good (Demand ↓)	an increase in factor productivity (Supply ↑)
D	an increase in the wage rates in the industry (Supply ↓)	a change in consumer preferences (Demand ↓)



$Q_s = 10 + 5P$
 $Q_s = 10 + 5(1) \Rightarrow 15 \rightarrow \text{Double}$
 $Q_s = 10 + 5(4) = 30$

4

- 6 A supply curve is represented by the equation, quantity supplied = $10 + 5P$, where P = the price of the product.

Which price rise would cause the quantity supplied to double?

- A \$1 to \$2 B \$1 to \$3 C \$1 to \$4 D \$1 to \$5

Market demand:- Horizontal summation of all individual demand

- 7 Along which axis can the market demand curve be aggregated from individual demand curves?

- A both the horizontal and vertical axis (No)
B the horizontal axis only (Quantity)
 C the horizontal or the vertical axis but not both (No)
 D the vertical axis only (Price)

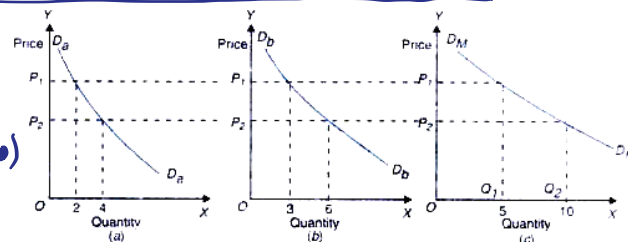


Fig. 6.2. Horizontal Addition of Individual Demand Curves to get Market Demand

- 8 The table shows the price of a good and total expenditure on the good during specific periods when the market is in equilibrium.

$TR = P \times Q$	period	price (\$)	total expenditure (\$)	Qty $\Rightarrow$ unchanged
$96K = 12 \times Q$	1	12	96 000	8
$40K = 5 \times Q$	2	5	40 000	8
$64K = 8 \times Q$	3	8	64 000	8
$80K = 10 \times Q$	4	10	80 000	8
$32K = 4 \times Q$	5	4	32 000	8

What can be deduced from this data?

- A The good has constant opportunity cost. (No PPC)
 B The good is an inferior good. (YED concept)
 C The price elasticity of demand is equal to one. (Unitary) ($TR/TE = \text{unchanged}$)
D The price elasticity of supply is equal to zero.

$\hookrightarrow$ perfectly inelastic supply

$\% \Delta \text{ in price} = \% \Delta \text{ in } TR/TE$

You can also do calculation

$\frac{\text{New} - \text{old}}{\text{old}} \times 100$ to prove

Though, above method is quick!

5

Prices ↓

- 9 The Chinese government relaxed controls on private house ownership. Private house ownership rose sharply, replacing demand for apartments rented from the state.

What would have been most likely to happen to private house prices and the rents of apartments?

	private house prices	apartment rents
A	decrease	decrease
B	decrease	increase
☒ C	increase	decrease
D	increase	increase

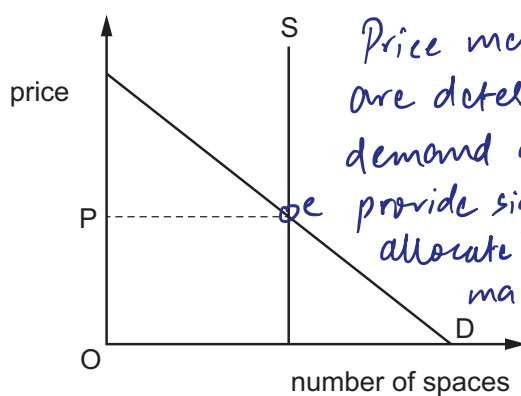
↓
Ownership ↑,
Demand ↑,
shortage,
prices ↑

↓
Demand for
rented
houses ↓,
surplus,
prices ↓

- 10 What might explain a simultaneous increase in both price and quantity traded in the market for a normal good?

- ☒ A the removal of an effective maximum price on the good (Shortage eliminated, Prices ↑, Qty ↑)
 B technological progress in the production of the good (Supply ↑, surplus, prices ↓, Qty ↑)
 C the imposition of a tax on the good (Supply ↓, shortage, prices ↑, Qty ↓)
 D the granting of a subsidy to producers of the good (Supply ↑, surplus, prices ↓, Qty ↑)

- 11 The diagram shows the demand and supply curves for parking spaces in a hospital car park.



Price mechanism, is where prices are determined by the forces of demand and supply, where prices provide signal to the producer to allocate resources in profit maximizing manner.

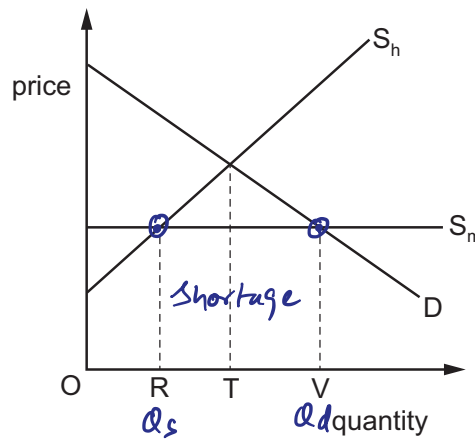
The managers decide to rely on the price mechanism to allocate parking spaces at the hospital.

What is required for this to work?

- A Alternative means of transport must be provided for those unable to afford price OP. (No)
 B A survey will be needed to find out the amount users are willing to pay. (No)
 C The capacity of the car park will need to be expanded. (No)
☒ D The price charged for parking spaces must be OP. (Equilibrium)

6

- 12 The diagram shows a market for a good which is supplied partly from domestic production and partly from imports. S_h represents domestic supply and S_m represents imports.



$V(Q_d)$:- consumption
 $R(Q_s)$:- production
 $R - V$:- Shortage or volume of imports

What will be the level of consumption and the associated quantity of imports?

	<i>Demand</i> consumption	<i>Shortage</i> quantity of imports
A	OT	RT
B	OT	OT
C	OV ✓	RT
D ✓	OV ✓	RV ✓

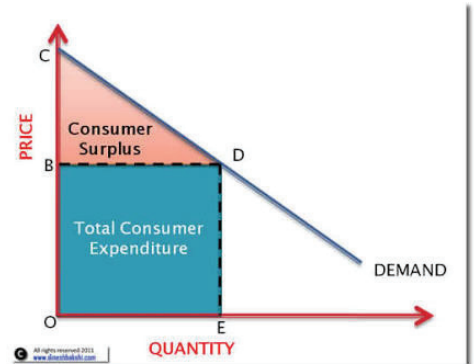
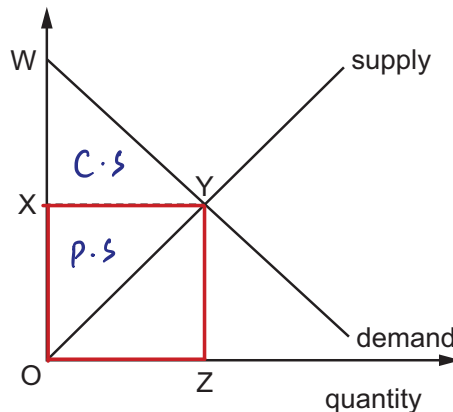
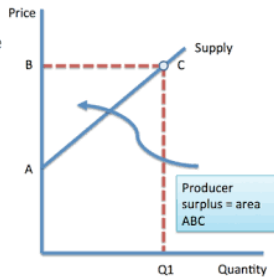
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13 The diagram shows the market for computers in Pakistan.

What is Producer Surplus?

Producer surplus is a measure of producer welfare

- Producer surplus is the difference between what producers are willing and able to supply a good for and the price they actually receive
- Producer surplus shown by area above the supply curve and below the market price
- Higher prices provide an incentive to supply more to the market (profit motive)



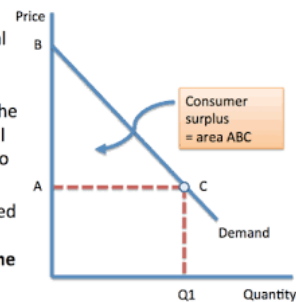
Which areas represent consumer surplus and consumer expenditure?

	consumer surplus	consumer expenditure
A	<u>WXY</u>	<u>OXY</u>
B	<u>WXY</u>	<u>OXYZ</u>
C	WYO	<u>OXYZ</u>
D	WYO	OYZ

What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

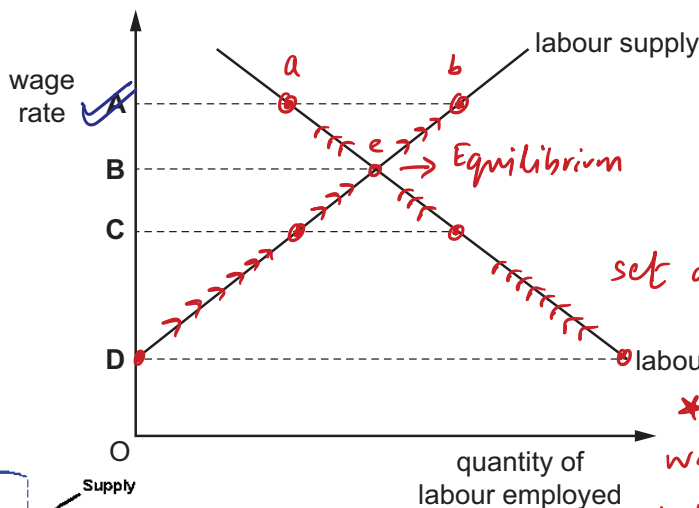
- **Consumer surplus** is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.



14 The diagram shows the market for labour.

At which level would an effective minimum wage rate have to be set?

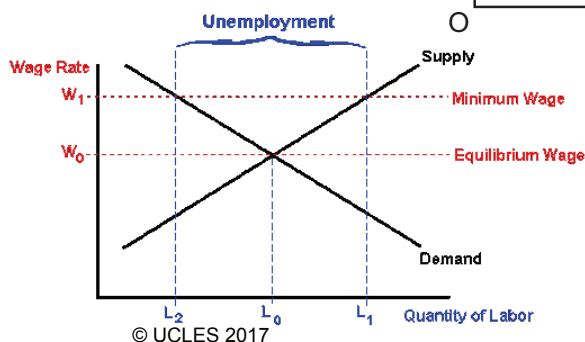
* Apply the concept just like minimum price



* Minimum wage, at least this rate needs to be set.

* Minimum wage, to be effective, should be set above the equilibrium

* Ineffective minimum wage, will be set below the equilibrium, which will reach back to the equilibrium



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[Turn over

* Subsidy is a grant or a cash payment given by the government to the producers to encourage them to produce more, this reduces their cost of production and encourages them to supply more⁸

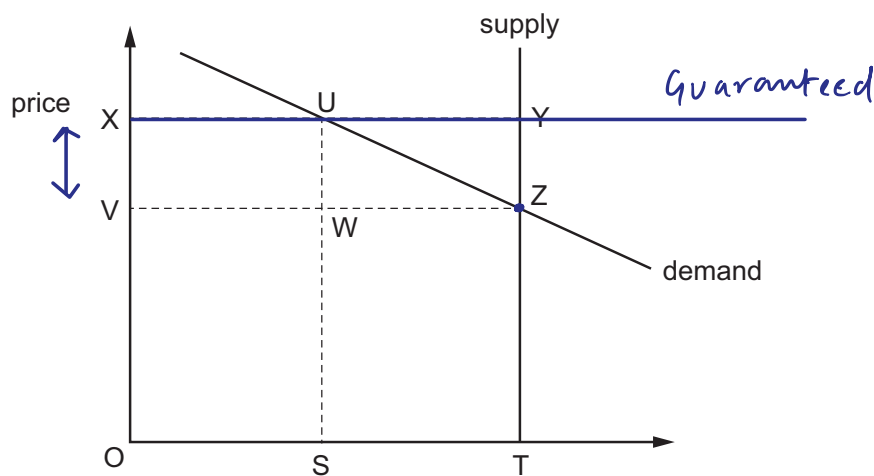
15 What is an accurate statement about a production subsidy?

- A It causes demand for the good to increase so the demand curve shifts to the right. (No)
- B It enables firms to supply more so the supply curve shifts to the left. (No)
- ☒ C It is financial assistance to firms from the government to help increase output. (Yes)
- D It is money taken from firms by the government to reduce harmful side effects of production. (No)

16 The diagram shows the market supply and demand curves for an agricultural product. The government guarantees producers a price of at least OX for their output, but allows the market price to be freely determined by demand and supply.

VZ:- Demand and Supply

XY:- Government guarantees



From 'VZ' till 'XZ'

Which area in the diagram represents the total subsidy payments made by the government to producers?

- A UYTS
- B UYZW
- C XUWV
- ☒ D XYZV

17 How will transfer payments to low-income families, funded by a mix of direct taxation and indirect taxation, affect the total level of consumption?

- ☒ A The change in the level will be uncertain.
- B The level will fall.
- C The level will remain unchanged.
- D The level will rise.

* A payment made or income received in which no goods or services are being paid for, such as a benefit payment or subsidy.

* These payments are considered to be non-exhaustive because they do not directly absorb resources or create output. Examples of transfer payments include welfare, financial aid, social security, and government making subsidies for certain businesses (firms).

Labour productivity

9



- 18 The table shows the annual percentage change in the output per worker employed for four nationalised industries before and after privatisation.

nationalised industry	before privatisation	after privatisation
railways	-4%	2%
electricity supply	7%	9%
shipbuilding	4%	-1%
telecommunications	6%	6%

What can be concluded from the table about the effect of privatisation?

- A Employment fell in the railway industry. (It's Labour productivity, not Labour's)
- B Employment was unchanged in the telecommunications industry. (Data in %, no numbers)
- C Output was greatest in the electricity supply industry. (Data in %, numbers not given)
- ☒ D Workers became less efficient in the shipbuilding industry. [After privatisation, output per worker fell]

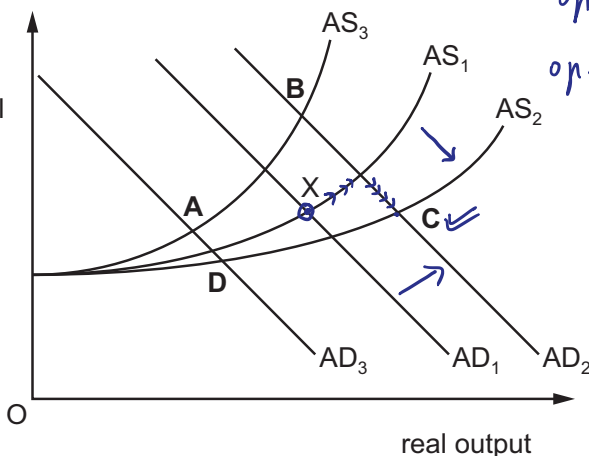
AD ↑

- 19 In its recent budget a government increased defence expenditure and the amount spent on training to increase the productivity of the workforce. The initial equilibrium point is shown by X on the aggregate demand, AD, and aggregate supply, AS, diagram.

AS ↑

What would be the equilibrium point after these changes?

* Budget, difference between government spending and Tax revenue



option B:- AD ↑, AS ↓
 option A:- AD ↓, AS ↓
 option D:- AD ↓, AS ↑

20 The table shows a country's consumer price index for March and April 2015.

Deflation is fall in the price level, which increases the value of money!

	consumer price index
March 2015	151.3
April 2015	148.6

⇒ Rate of inflation

-1.78

Which statement correctly describes what happened between these two months?

- Dis-inflation
- A There was a decrease in the annual rate of inflation. (It's in minus i.e. Negative)
- B There was a decrease in real interest rates. (No information regarding 'r') [can't conclude]
- ☒ C There was an increase in the purchasing power of money.
- D There was an increase in the standard of living. (No) (Deflation)

21 What would be likely to increase inflation in an economy?

- A an increase in consumer saving (save ↑, spend ↓, C ↓, AD ↓)
- B an increase in interest rates (R ↑, save ↑, spend ↓, C ↓, AD ↓)
- C an increase in labour productivity (AS ↑, surplus, prices ↓)
- ☒ D an increase in taxes on imports (Imports, inelastic, cost ↑, AS ↓, prices ↑)
expensive demand

22 In 2014 a rich foreign businessman bought a UK football club.

What would have been the immediate effect of such an investment?

- A a fall in the demand for footballers in the UK (No) (Demand ↑)
- B a fall in the earnings of footballers in the UK (No) (Earning ↑)
- ☒ C an inflow in the UK balance of payments
- D an inflow in the UK balance of trade (Trade deals with goods and services) (No)

Investment made,
inflow of payments received by UK in its Balance of payment

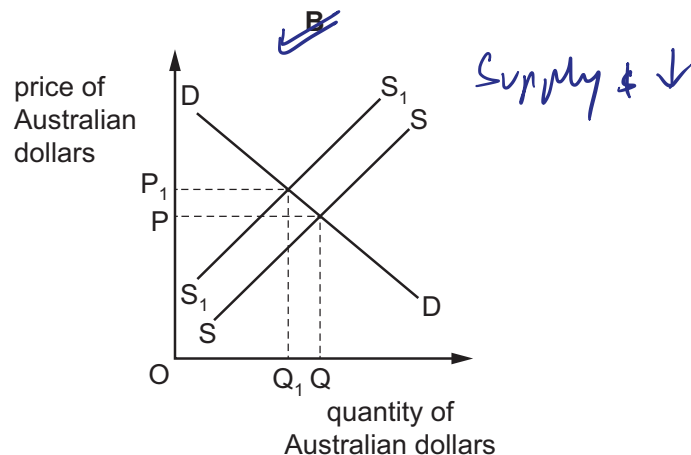
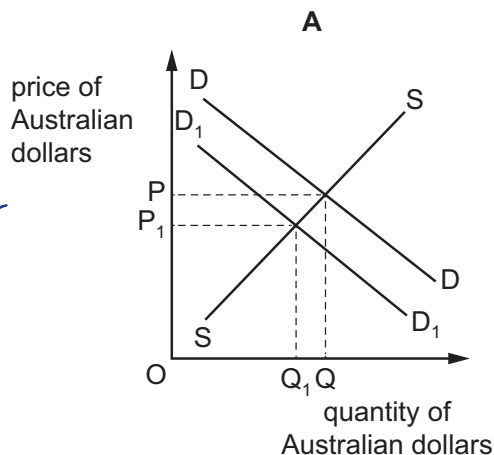
Less payment made, Supply \$ ↓¹¹

- 23 Australia's spending on imports falls and, at the same time, investment abroad by Australian firms declines.

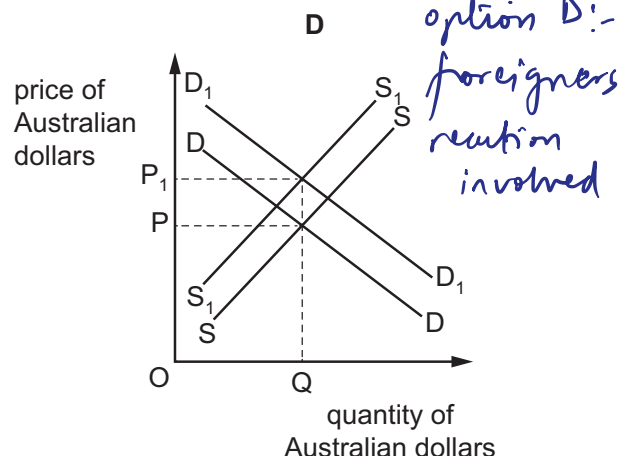
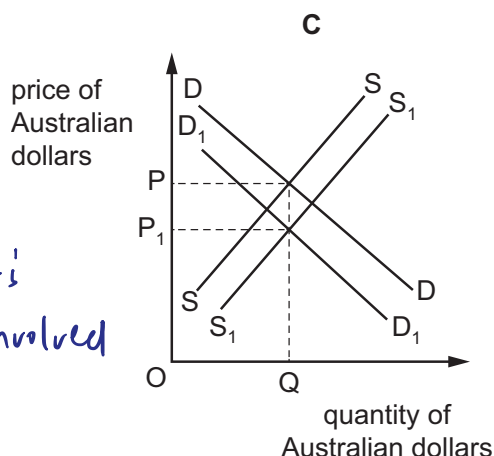
Less investment abroad, call Back, Supply \$ ↓

Which diagram shows the immediate effect of these changes on the market for the Australian dollar?

option A:-
foreigners
reactions



option :-
foreigners
reaction involved



- 24 An economy's terms of trade rose from the base year of 100 to 110.

Which changes in the export price index and the import price index would have caused this?

	export price index change	import price index change
A	0	-10
B	0	+10
C	+10	0
D	+20	+10

$$\frac{100}{90} \times 100 = 111.1$$

$$\frac{100}{110} \times 100 = 90.9$$

$$\frac{110}{100} \times 100 = 110$$

$$\frac{120}{110} \times 100 = 109$$

TOT:- $\frac{X_{prices}}{M_{prices}} \times 100$

12

Economic Union

- 25 The introduction of the euro as the common currency of much of Western Europe created a powerful economic group.

What is least likely to have been the intention?

- A faster economic growth in the region (yes)
- B greater labour mobility and employment in the region (yes)
- C more international trade within the region (yes)
- ✓ D more international trade with non-members (No)

★ An economic union is a type of trade bloc which is composed of a common market with a customs union. The participant countries have both common policies on product regulation, freedom of movement of goods, services and the factors of production (capital and labour) and a common external trade policy.

- 26 Country X has a comparative advantage in producing wheat and country Y in producing cars. However, the countries choose not to specialise and trade.

What is a valid reason for this behaviour?

- ✓ A The cost of transport is high relative to the opportunity cost differences between the countries. Transportation cost > opportunity cost ratio
Advantage will be a disadvantage, when good reaches other country
- B The exchange rate lies within the countries' opportunity cost ratios. (They will trade)
- C There is immobility of factors of production between the countries. (Not a concern)
- D Trade is based on absolute rather than comparative advantage. (Trade occurs on the basis of comparative)

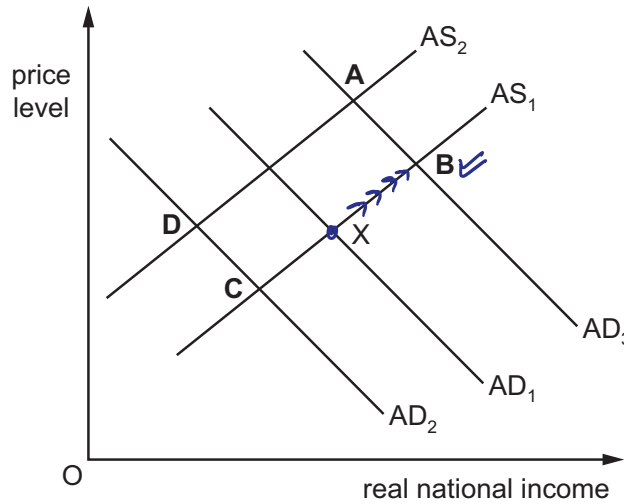
- 27 What is not an example of protectionism?

- A a ban on the imports of chicken products (yes)
- B import tariffs on agricultural products (yes)
- ✓ C maximum supermarket food prices (No) (Price control)
- D strict health and safety requirements (yes) (Red tape)

Income tax ↓, Disposable income ↑, consumption ↑, AD ↑
 ↑ 13

- 28 The government of a country plans to cut income tax rates. The initial equilibrium for the country is represented by point X on the diagram.

Which new equilibrium point would an economist predict as the result?



Demand and supply

- 29 If an economy has a floating exchange rate, which policy could have an expansionary effect on national income with the smallest reduction of a current account surplus on the balance of payments?
- A a reduction in income tax rates (Tax ↓, Disposable income ↑, Imports ↑, Deficit)
 - ☒ B a reduction in interest rates [R ↓, CT ↑, IT ↑, AD ↑] [R ↓, ER ↓, Depreciate, Trade surplus]
 - C government subsidies to individuals wanting loans for house purchases (Not expansionary effect)
 - ☒ D increased government spending on transport infrastructure
- ↳ Not linked to current account surplus

- 30 Which combination of fiscal and monetary policies is most likely to be effective in the short run for tackling deflation in a closed economy?

When AD ↓

	fiscal policy	monetary policy
☒ A	increasing the budget deficit	reducing the interest rate
B	increasing the budget deficit	reducing the money supply
C	reducing the budget deficit	reducing the interest rate
D	reducing the budget deficit	reducing the money supply

Budget deficit :- Government spending greater than Tax revenue
 ↓
 G ↑, AD ↑

interest rate ↓ :- R ↓, CT ↑, IT ↑, AD ↑
 ↓
 ER ↓, Depreciates, X prices ↓, X (TR) ↑, Trade surplus, AD ↑
 M prices ↑, M (TE) ↓